

STILL ON THE BLOCK
The BPCL plant in Mumbai

MANDAR DEODHAR

much more conservative in expectation and objective. For one, it sets no targets for the divestment of PSBs (public sector banks) and financial institutions—a politically contentious area—and revises last year's target for it to nil from Rs 1 lakh crore. A hoped-for success is the upcoming LIC IPO (Life Insurance Corporation initial public offering), expected to launch on March 11. Fund managers say the IPO could raise between Rs 50,000 crore and Rs 1 lakh crore, but with war breaking out in Ukraine, the government might choose to delay the launch, which will have consequences for its divestment agenda. Meanwhile, Tata Steel has also acquired a 93.2 per cent stake in the government's Neelachal Ispat Nigam, a steel manufacturer, for Rs 12,100 crore.

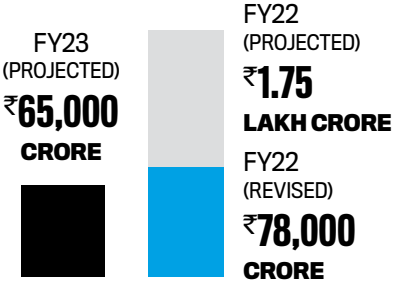
MISSED TARGETS

The list of missed divestment targets includes firms that have now spent years on the block. Pawan Hans, for example, has been on sale for 10 years. The firm's revenues have reportedly been falling since 2016, with losses in 2019 and 2020. Last year, the Centre made another attempt to sell it, relaxing its earlier terms to attract more buyers. In December, it announced it had received bids, but little has been said on the matter since.

Another example is the sale of BPCL. So far, the government has had to extend its deadline for filing preliminary expressions of interest four times. Part of the trouble has to do with the sector—with crude oil prices highly volatile in recent years, it has been difficult to generate investor interest in energy companies. On the block is the government's entire 52.98 per cent stake in BPCL, for which it says it has received three expressions of interest. Ratings agency Fitch rates the firm BBB- with a negative outlook, saying "uncertainty over the bidder consortiums and process complexity, including valuation, may lead to potential delays in the privatisation of India's second-largest fuel retailer." Similarly, the sale of SCI remains in limbo because bidders have found it difficult to complete their due diligence of the firm's assets.

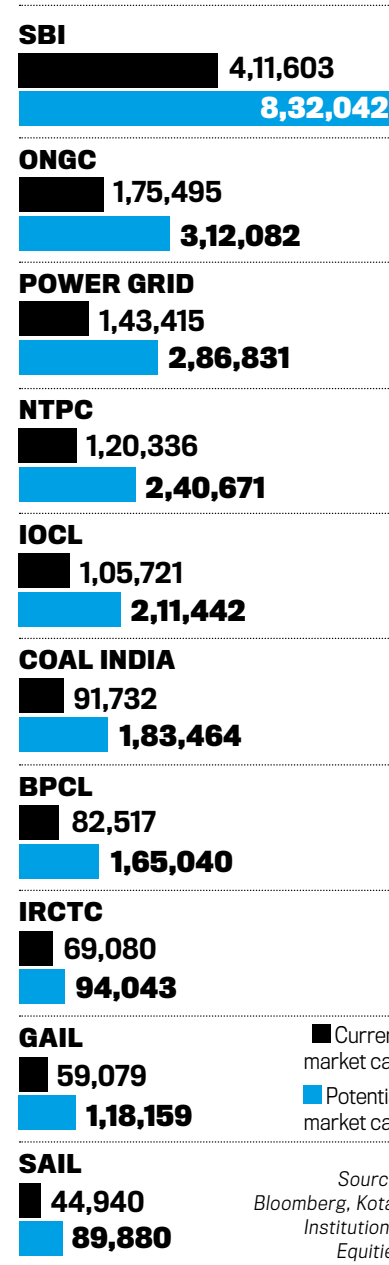
A major hurdle to privatisation, across sectors, has been the

DIVESTMENT DOLDRUMS



BELOW POTENTIAL

PSUs often have stunted valuations because of poor efficiency, innovation and so on



Source: Bloomberg, Kotak Institutional Equities